

Dr Reddys Laboratories Ltd (DRREDDY)

Sector: Healthcare

ROE

19.7%

ROCE

21.4%

D/E

0.07x

OPM

28.3%

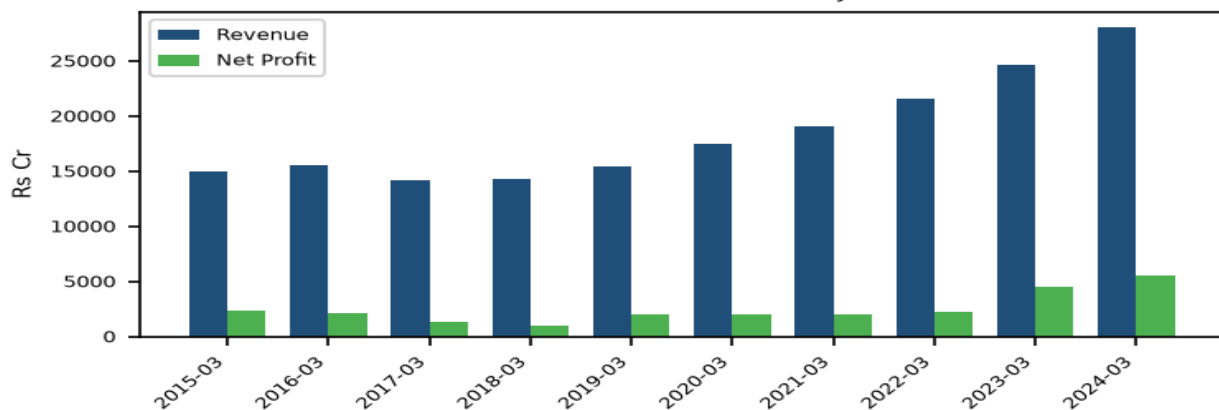
Revenue CAGR 5yr

12.6%

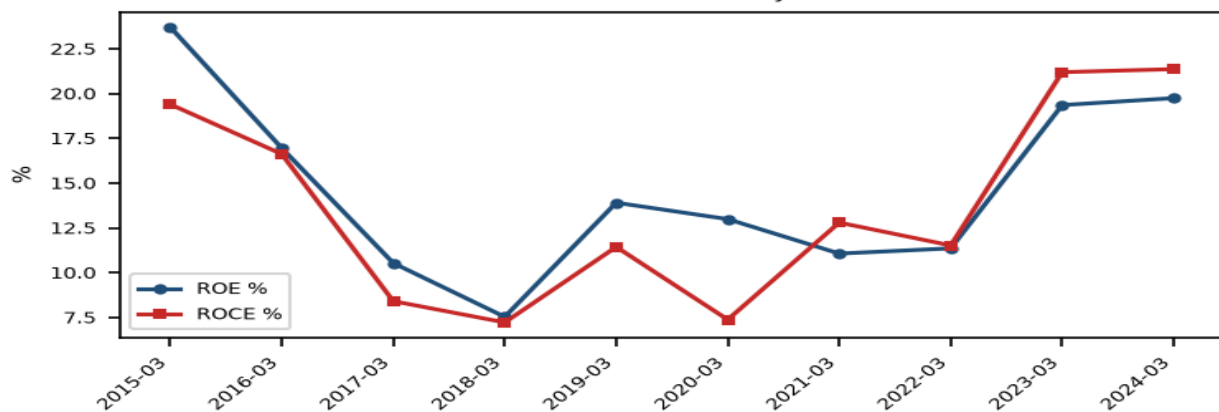
Free Cash Flow

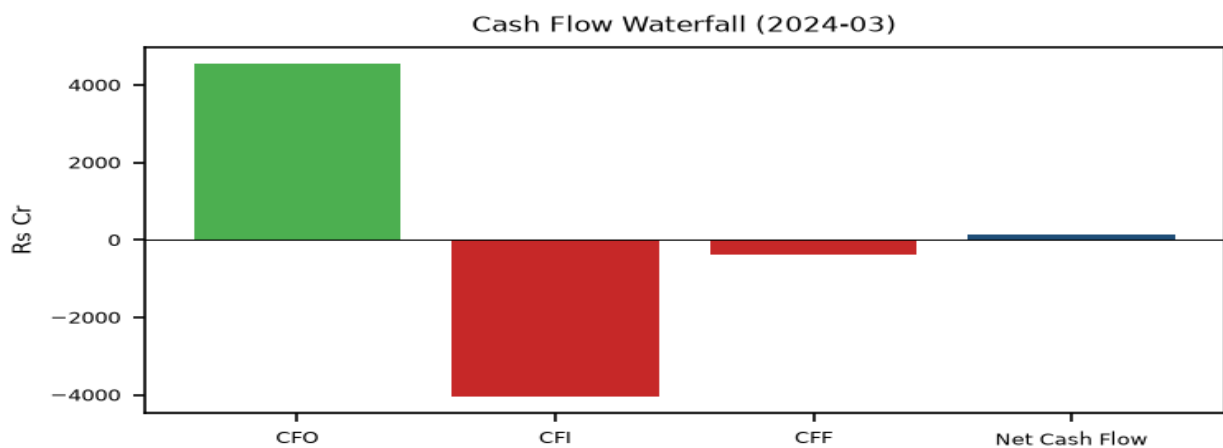
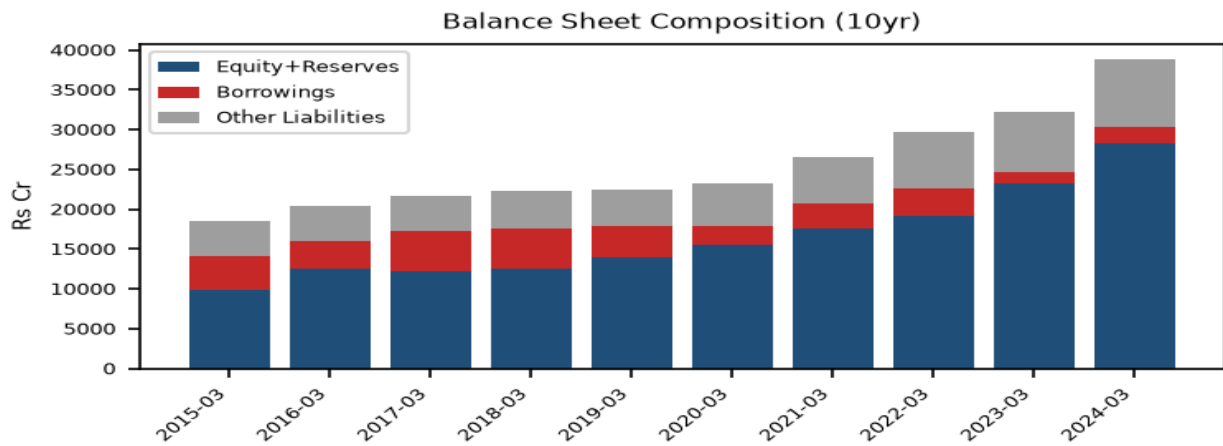
Rs 509 Cr

Revenue & Net Profit (10yr)



ROE vs ROCE (10yr)





Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Insufficient historical data available to assess business risks in detail

Capital Allocation: Reinvestor